

ACCT 201 — ULTIMATE FINALS CHEAT SHEET

Bank Reconciliation • Bad Debts • Inventory • Depreciation • Asset Disposal

1. BANK RECONCILIATION

Goal: Book Balance = Bank Balance = **True (Adjusted) Balance**. Only **Book Adjustments** require JEs.

RECONCILIATION STRUCTURE

BOOK BALANCE (LEDGER) — NEEDS JES	BANK BALANCE (STATEMENT) — NO JES
Unadjusted Book Balance + Bank Collections (Notes) + Interest Earned – Service Charges / Fees – NSF Checks (Bounced) ± Book Errors (typos)	Unadjusted Bank Balance + Deposits in Transit (DIT) – Outstanding Checks ± Bank Errors
= Adjusted Book Balance	= Adjusted Bank Balance

REQUIRED BOOK ADJUSTING JES (COMPOUND)

INCREASING CASH	DECREASING CASH
Dr. Cash XXX Cr. Notes Receivable XXX Cr. Interest Revenue XXX	Dr. A/R (NSF) XXX Dr. Bank Fee Expense XXX Cr. Cash XXX

Tip: Use exact account titles. List outstanding checks individually if given.

2. ACCOUNTS RECEIVABLE — BAD DEBTS

NRV (Net Realizable Value) = A/R – Allowance for Doubtful Accounts (ADA)

TWO METHODS COMPARED

% OF CREDIT SALES (INCOME STMT)	AGING OF RECEIVABLES (BAL SHEET)
Exp = Net Credit Sales × % Uncollectible - Ignores existing ADA balance - Calculates Bad Debt Expense directly	Target ADA = Σ(Bucket × %) Exp = Target – Unadj. Balance - Calculates Target Ending Balance - Subtract existing credit (or add debit)

COMMON A/R JOURNAL ENTRIES

CREDIT SALE	BAD DEBT EXP	WRITE-OFF	RECOVERY
Dr. A/R / Cr. Sales Rev.	Dr. Bad Debt Exp / Cr. ADA	Dr. ADA / Cr. A/R	(1) Dr. A/R / Cr. ADA (2) Dr. Cash / Cr. A/R

3. INVENTORY VALUATION

COGAS = Beg. Inv + Purchases = COGS + End. Inv

CRITICAL: Calc **End. Inv FIRST**, then $\text{COGAS} - \text{End. Inv} = \text{COGS}$

TRACKING SYSTEMS

PERPETUAL SYSTEM	PERIODIC SYSTEM
Real-time updates. 2 JEs per sale. Uses "Inventory" account. COGAS – COGS = End. Inv	Updates at period end. Uses "Purchases" temp account. COGAS – End. Inv = COGS

COST FLOW ASSUMPTIONS

FIFO	LIFO	AVERAGE COST
First-In First-Out End Inv = newest costs Inflation: Highest NI Same: Perp. & Periodic	Last-In First-Out End Inv = oldest costs Inflation: Lowest NI/Tax Differs: Perp. vs Periodic	Periodic: Tot. Cost/Tot. Units once Perpetual: Moving avg per purchase Smooths price volatility

4. PLANT ASSETS & DEPRECIATION

Capitalize: Price, Taxes, Freight, Installation, Testing to get ready for use
Exclude (expense immediately): Interest after ready, Damage repairs, Advertising

THREE DEPRECIATION METHODS

METHOD	FORMULA & RULES
Straight-Line	(Cost – Residual) / Useful Life Same expense every year. Most common method. Half-Year Convention: ×0.5 for first AND last year
Double-Declining (DDB)	(1/Life) × 2 × Beg. Book Value IGNORE Residual Value in calculation! Stop depreciating when Book Value = Residual. In final year, only depreciate the exact amount needed to reach residual (don't go below). Half-Year Convention: ×0.5 for Year 1 AND disposal year
Units-of-Output	S1: \$/Unit = (Cost-Residual)/Total Units S2: Expense = \$/Unit × Units Used This Year Best when asset usage varies significantly year to year

KEY COMPARISON

EARLY YEARS EXPENSE	BEST USED FOR	RESIDUAL VALUE?
DDB: Highest (accelerated) SL: Constant every year Units: Varies by actual use	DDB: Tech, vehicles SL: Buildings, stable assets Units: Production equipment	DDB: Ignored until end SL: Used in every calc Units: Used in every calc

PARTIAL YEAR DEPRECIATION

Months Method: Annual Depr × (Months Used / 12), round to nearest whole month
Half-Year Convention: Record ½ year depreciation in purchase year AND disposal year

5. DISPOSAL OF PLANT ASSETS

Steps: (1) Update depr. to date → (2) Clear cost + accum.depr. from books → (3) Record cash → (4) Recognize **Gain OR Loss** (never both)

BOOK VALUE & GAIN/LOSS FORMULAS

Book Value = Historical Cost - Accum.Depreciation

Gain/Loss = Cash Received - Book Value

JOURNAL ENTRIES BY SCENARIO

GAIN (CASH > BOOK VALUE)	LOSS (CASH < BOOK VALUE)
Dr. Cash (received) Dr. Accum.Depreciation (total) Cr. Equipment (cost) Cr. Gain on Sale	Dr. Cash (received) Dr. Accum.Depreciation (total) Dr. Loss on Sale Cr. Equipment (cost)

SPECIAL DISPOSAL CASES

FULLY DEPRECIATED	SCRAPPED / RETIRED	TRADE-IN (EXCHANGE)
Dr. Accum.Depr. (full) Cr. Asset (full cost) No gain or loss	Loss = Book Value of asset Dr. Cash (scrap, if any) Dr. Loss on Disposal Dr. Accum.Depr. Cr. Asset	With commercial substance: Record new asset at fair value , recognize gain/loss immediately Without: Record at book value of old + cash paid. No gain recognized (loss is if applicable)

DISPOSAL CHECKLIST

1. Update depreciation to date of disposal
2. Calculate Book Value (Cost - Accum.Depr.)
3. Compare Cash to Book Value → Gain or Loss
4. Record JE: Remove asset + accum.depr., record cash, recognize gain OR loss
5. Verify: Debits = Credits

KEY EXAM REMINDERS

Bank Rec: Only book side needs JEs Bad Debts: %Sales ignores ADA; Aging uses it Inventory: ALWAYS calc End.Inv first	Depreciation: DDB ignores residual value Disposal: Update depr. first! Gain OR Loss General: Use exact account titles
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